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Last October, the hazy world of the virtual financial sector came into contact with the real financial sector and the impact was apocalyptic. The greed and poor regulation of Wall Street led to its meltdown and had the global economy on its knees. Reputed banks and financial institutions collapsed and thousands lost their jobs in the West as the consequences of what can only be called casino capitalism began to be felt and understood. The chain reaction was felt all over the globe and when this tide reached India, it seemed like it would wash away all the feelgood of the last few years.

After hitting a high of 21,000 points in January 2008, our stock market index crashed to 7,000 points, the boom business went bust and every one began to look nervously over their shoulders. The trust between producers, buyers, lenders and borrowers was breached and that feeling of uncertainty spread like a virus through the rest of our economy. The government only began to address the issue after a few months of denial, when there was no mistaking the increasing number of pink slips flying around. When the results began to pour in, everyone's worst fears were confirmed.

India's headline exports—IT and software, gems and jewellery, auto components—were all hit badly. Through 2008-2009, exports grew by a measly 3.4 per cent. In March this year, India's index of industrial production fell to -2.3 per cent and exports shrank by an alarming 24 per cent. It is estimated that an economy with a track record of 9 per cent growth for the last few years will only clock in at a little over 6 per cent in the last financial year.

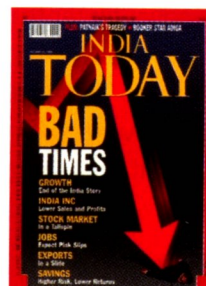
Yet, some parts of the Indian economy appear to have survived the worst of the slowdown. This is thanks mostly to India's demographics, the size of its domestic economy and robust growth in the rural sector. It is this that has given many hope that India will recover faster than the rest of the world.

Some even believe that the recovery is underway and cite anecdotal evidence to support their case. For example, there is a revival in the two-wheeler market and a 31 per cent increase in Tata Steel's sales in the last financial year while the Aditya Birla Group reported a 17 per cent growth in cement. It must be said that where you stand in this argument depends on the business you're in. To those in software, recovery may seem a million moons away but those in telecom may well ask, "What recession?"

Our cover story this week is both analysis and diagnosis on the state of the Indian economy. Managing Editor Shankkar Aiyar approached as many as 50 leaders of industry, asking them five questions about the health of the economy and what they believe the Government should do now. As many as 19 put their views on record. Aiyar says, "The critical element that fuels business is optimism. Even though it may take a long time for everyone to feel that way again, right now there are plenty of signs that hope is back in business." This hope is not based on a wing and a prayer but on certain straws in the wind.

Plus the good Doctor is back in charge without the pesky Left on his back, and with a working majority. There is a new finance minister, who is an experienced hand, which should help in turning hope into reality sooner than most people think.

(Aroon Purie)



OUR OCTOBER
2008 COVER